BWET

BREAKWAVE ADVISORS

Tanker Shipping

December 17, 2024

Breakwave Tanker Futures Index:	1,073	VLCC Middle East-Asia Spot Rates:	8.63	Short-term Indicators:	
↑ 30D: -9.4%		↑ 30D: -29.2%		Momentum:	Neutral
↑ YTD: -11.6%		↓ YTD: -26.8%		Sentiment:	Negative
↑ YOY: -12.1%		↑ YOY: -36.1%		Fundamentals:	Neutral

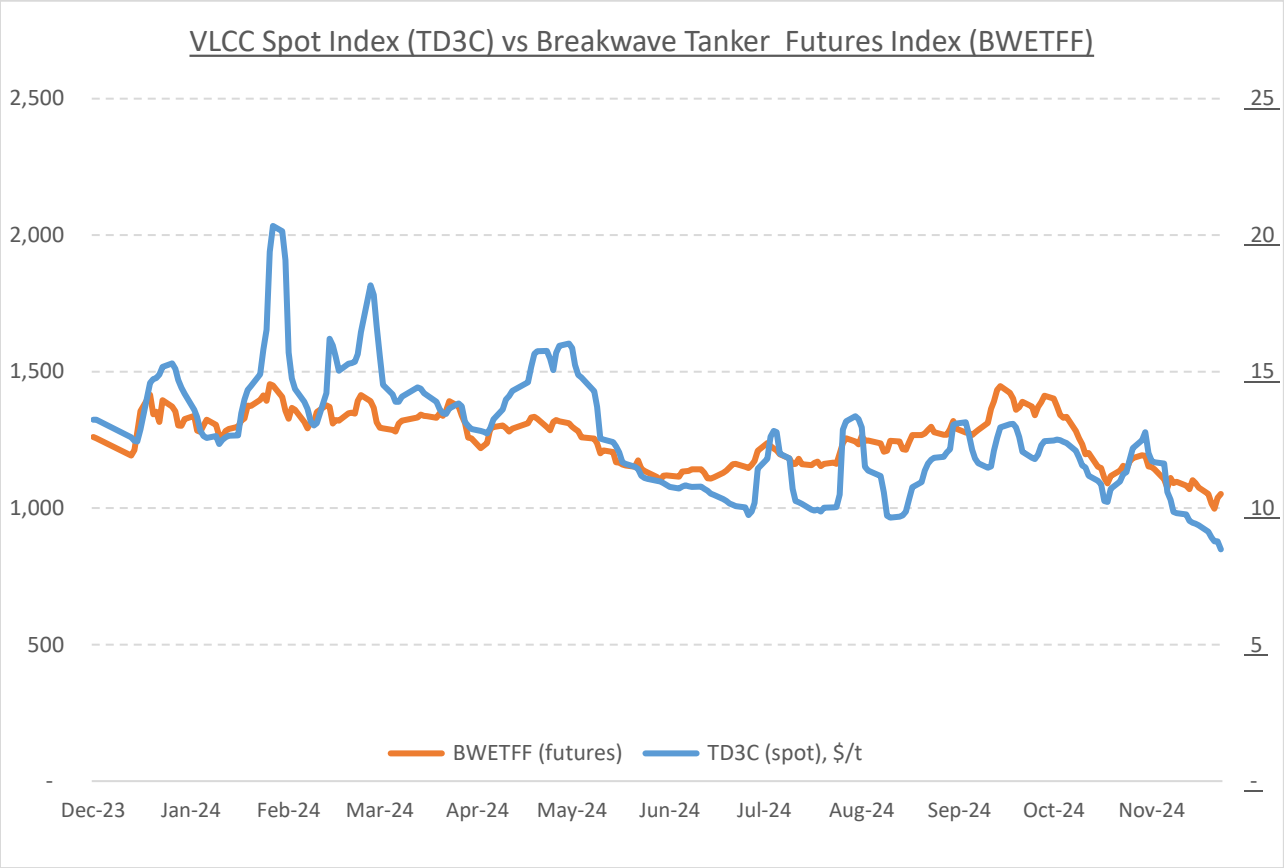
Bi-Weekly Report

- **Clouded Horizons: Crude Tanker Freight Market Struggles Amid Weak Demand and Geopolitical Uncertainty –** December continues to cast a **shadow of pessimism** over the crude tanker freight market, with VLCC (Very Large Crude Carrier) rates **struggling to gain momentum** during what is typically the peak winter demand season. Despite expectations of seasonal improvements, **market conditions remain subdued**, with rates in both the Arabian Gulf and West Africa regions underperforming. This raises critical questions regarding the "winter rally" as the New Year approaches. One key factor contributing to this sluggish performance is the apparent **scarcity of spot cargoes**, which has resulted in intense competition among vessels for employment opportunities. This issue is further compounded by ongoing **uncertainty** surrounding **crude oil market** dynamics, particularly with regards to OPEC's production policies. Current supply and demand trends suggest **minimal justification for increased production**, something that was well communicated given the recent delay of any production increases by OPEC+, dampening optimism for a short-term market recovery. Moreover, **geopolitical factors** continue to cast a **shadow of uncertainty** over the dirty tanker market. The prospect of additional sanctions on Russian and Iranian oil exports under U.S. policy—especially those stemming from the new administration—poses significant uncertainties and should these sanctions materialize, they could further disrupt trade flows, introducing additional volatility. Looking ahead, attention will shift to the January stems, although market **expectations** seem to indicate that rates will likely continue on the current **relatively weak trajectory**.

- **OPEC Slashes Demand Forecasts, as China Oil Growth Remains Dull –** As 2024 draws to a close, the anticipated second-half demand recovery has failed to materialize, leading to **significant downward revisions** in demand forecasts by OPEC for both 2024 and 2025. Notably, **China's 2024 oil demand** growth forecast has been **sharply reduced**. OPEC now predicts an increase of just 430,000bpd, a notable drop from the 760,000bpd forecast issued in July. This slowdown in Chinese demand growth highlights broader concerns shaping OPEC's outlook and underscores the vulnerability of the global oil market as it enters 2024. **Structural shifts in transportation fuels**—such as the increasing penetration of electric vehicles (EVs), higher efficiency in air travel, and the growing use of commercial gas-fueled trucks—pose **significant obstacles** to a robust recovery in crude oil demand, even if the Chinese government succeeds in stimulating the economy. However, not all developments are negative for the crude tanker market. A **potential shift** toward greater OPEC **crude oil exports**, driven by sanctions on Russian oil or an effort by the cartel to regain market share, could lead to stronger demand for crude tankers. This remains our base scenario for the coming years. While the major structural changes in the oil markets support this outlook, heightened geopolitical risks continue to present the primary uncertainty surrounding these scenarios.

- **Our Long-term View –** The tanker market is recovering from a long period of staggered rates as the growth in new vessel supply shrinks while oil demand remains elevated in line with the global economy. A historically low orderbook combined with favorable shifting trade patterns should continue to support increased spot rate volatility, which combined with the ongoing geopolitical turmoil, should sustain freight rates in the medium to long term.

The Baltic TD3C Index measures the spot rate in USD per ton for Very Large Crude Carriers (VLLCC) operating in the Middle East to Asia route. The Breakwave Tanker Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 90% VLCC TD3C and 10% Suezmax TD20 and a weighted average maturity of approximately 50-70 days.



Tanker Fundamentals

Demand	**YTD**	**YOY**
World Oil Demand	104,388 kbpd	0.9%
Oil Supply, OPEC	27,020 kbpd	-3.8%
Oil Supply, non-OPEC	68,625 kbpd	1.7%
OECD Total Crude Oil Stocks	1026.0 MMbls	0.5%
US Crude Oil Exports	37.3 MMbls	2.7%
China Oil Imports	505.7 MMbls	-2.0%
Global Crude Oil Floating Storage	65.3 MMbls	-6.7%

Supply		
Tanker Fleet	695.4 mdwt	0.9%

Freight Rates		
VLCC Middle East-Asia, USD/ton	12.62	-11.0%
Suezmax West Africa-Europe, USD/ton	17.14	-14.4%

Note: All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals
Sources: Bloomberg, IEA, Clarksons and Breakwave Advisors

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